

Economics Test -4

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Q1. What is a prominent trend in the microfinance sector in India ?

- A. Integration of mobile banking services**
- B. Excessive bureaucracy in loan approvals
- C. Decreased reliance on digital technology
- D. Limited focus on women entrepreneurs

Solution: Micro Finance Institution – Financial companies that provide small loans to people who do not have any access to banking facilities. Microfinance services means one or more of the following financial services involving small amounts to individuals or groups: Providing micro credit, collection of thrift, remittance of funds, providing pension or insurance services. Microfinance Institutions Network (MFIN) was established in 2009.

Q2. The Purple Revolution, which was launched in Jammu and Kashmir, is also known as _____.

- A. Lavender Revolution**
- B. Indigo Revolution
- C. Orchids Revolution
- D. Lilac Revolution

Solution: Purple revolution (Lavender Revolution) under Aroma mission had quadrupled Jammu and Kashmir farmer's income after shifting from maize to lavender cultivation. Famous revolutions in India → Yellow Revolution → Oilseed Production, Black → Revolution Petroleum products, Blue Revolution → Fish Production, Green Revolution → Food Grains, etc.

Q3. What does the term 'Overdraft' mean in banking?

- A. The process of transferring funds between bank accounts
- B. The maximum withdrawal limit from an ATM
- C. Short-term financing facility**
- D. The interest charged on loans

Solution: Short-term financing facility . Bank overdraft is a type of financial instrument that is provided to some customers by the bank in the form of an extended credit facility, which comes into effect once the main balance of the account reaches zero. It is mainly used for covering short term cash requirements.

Q4. When tax collection exceeds the required expenditure, the budget is said to be in _____.

- A. deficit
- B. surplus**
- C. economic spread
- D. balance

Solution: Balanced Budget – if the expected expenditure is equal to the anticipated receipts for a fiscal year. Surplus Budget – If the expected revenues surpass the estimated expenditure for a particular business year. Deficit Budget – if the expenditure surpasses the revenue for a designated year.

Q5. If unemployment continues for long-term in a country, it

is called _____ unemployment.

- A. casual
- B. technological
- C. frictional
- D. Chronic**

Solution: Chronic unemployment. Casual Unemployment: when the worker is employed on a day-to-day basis for a contractual job and has to leave it once the contract terminates. Technological Unemployment: It is the outcome of some technological advancement in production methods, which would not need a lot of labour. Frictional Unemployment: Unsuccessful labour market adjustments between supply and demand lead to frictional unemployment.

Q6. Joint sector industry is one of the classifications of industries on the basis of _____.

- A. source of raw material
- B. capital investment
- C. bulk and weight of raw material
- D. Ownership**

Solution: Joint Sector Industry is one of the classifications of Industries on the basis of Ownership. The main examples of such joint sector companies included Cochin Refineries (1963), Madras Refineries (1965), Madras Fertilisers (1965) etc.

Q7. Which of the following combinations of tenors of Treasury bills issued by the Government of India is correct?

- A. 82 days , 182 days , 345 days
- B. 91 days , 152 days , 356 days
- C. 91 days , 182 days , 364 days**
- D. 61 days , 145 days , 360 days

Solution: 91 days, 182 days, and 364 days. Treasury Bills are short-term financial instruments issued by the government to meet its expenditure. These are used in the Open Market Operations (OMO) by the Reserve Bank of India to control the money supply in the economy and also used by financial institutions to meet their reserve requirements and borrow from the RBI by pledging treasury bills. Features: minimum investment, zero-coupon securities and trading. Advantages: risk-free, liquidity and non-competitive bidding. Types: 14-day treasury bill, 91-day treasury bill, 182-day treasury bill, 364-day treasury bill.

Q8. The GDP deflator is also called:

- A. implicit inflation index
- B. explicit inflation index
- C. implicit price deflator**
- D. explicit price deflator

Solution: The GDP (Gross Domestic Product) deflator is also called implicit price deflator . Gross domestic product (GDP) is the monetary value of all finished goods and services made within a country during a specific period. The GDP deflator, also called implicit price deflator, is a measure of inflation.

Q9. When the 'trans-boundary economic activities' of an economy and depreciation are included into account, the aggregate measure is known as -----.

- A. GNP**
- B. NNP
- C. PCI
- D. GDP

Solution: GNP (Gross National product). Net National Product (NNP) = GNP - Depreciation (wear and tear of capital assets). Per Capita Income (PCI) : Total income of the country divided by its total population. Gross Domestic Product (GDP) : The value of all final goods and services produced within a country during a particular year.

Q10. ----- became the first bank to get Reserve Bank of India's approval for rupee trade.

- A. SBI Bank
- B. Axis Bank
- C. UCO Bank**
- D. ICICI Bank

Solution: UCO bank (United Commercial Bank): One of the nationalized banks in India under the ownership of the Ministry of Finance, Government of India. Headquarters : Kolkata; Founded : 6 January 1943, Kolkata; Founder : Ghanshyam Das Birla. SBI Bank (State Bank of India) : Largest public sector bank (PSU) in India; Chairperson: Dinesh Kumar Khara; Founded : 1 July 1955; Headquarters : Mumbai; State Bank of India was earlier known as the Imperial Bank of India. Axis Bank : Founded: 1993, in Ahmedabad; Headquarters: Mumbai. ICICI Bank (Industrial Credit and Investment Corporation of India) : Founded: 1994, in Vadodara, Headquarters: Mumbai.

Q11. Which of the following is NOT a cause of rural poverty in India?

- A. Migration from rural areas**
- B. Lack of alternate employment opportunities other than agriculture
- C. Illiteracy
- D. Lack of capital

Solution: Rural poverty often stems from limited access to markets, education, quality infrastructure, employment opportunities, health, and financial products. Causes of urban poverty are Large Scale of Rural-Urban Migration, Lack of Skills, Indebtedness, Inflation, etc.

Q12. In the XXI phase of sale of electoral bonds can be only purchase from which of the following institution?

- A. NITI Aayog
- B. RBI
- C. SEBI
- D. SBI**

Solution: SBI (State Bank of India). Electoral bonds are money instruments like promissory notes, which can be bought by companies and individuals and donated to a political party, which can then encash these bonds. The Electoral Bonds Scheme was launched in 2018. SBI is the only authorised bank to issue electoral bonds. Validity : 15 calendar days from the date of issue. Eligibility: Only the political parties registered under Section 29A of the Representation of the People Act,

1951 are eligible to Electoral Bonds.

Q13. If the price elasticity of demand is less than one, then the demand for the goods is said to be -----.

- A. Perfectly inelastic
- B. Inelastic**
- C. Perfectly elastic
- D. Unitary-elastic

Solution: Inelastic. Price Elasticity of Demand is a measurement of the change in the consumption of a product in relation to a change in its price. If price elasticity is greater than 1 then the good is elastic, if less than 1 then it is inelastic, if the price elasticity is infinite then a good is perfectly elastic, and if a good's price elasticity is 0 then it is perfectly inelastic.

Q14. Which of the given statements about the Union Budget is/are true? 1. Vote on Account deals only with the expenditure side of the government budget. 2. Vote on Account and Interim Budget are not the same. 3. An Interim Budget gives a complete financial statement, similar to a full budget.

- A. Only 1
- B. Only 3
- C. 1, 2 and 3**
- D. 1 and 2

Solution: According to Article 112 of the Indian Constitution, the Union Budget of a year, also referred to as the annual financial statement, is a statement of the estimated receipts and expenditure of the government for that particular year. The Union Budget for Financial Year 2022-23 this year aims to strengthen the infrastructure with its focus on four priorities : PM GatiShakti, Inclusive Development, Productivity Enhancement & Investment, Sunrise opportunities, Energy Transition, and Climate Action, Financing of investments.

Q15. What is the main source of income for commercial banks?

- A. Donations from customers
- B. Profits from stock market investments
- C. Government grants
- D. Interest earned on loans and advances**

Solution: The commercial bank is a financial institution whose purpose is to accept deposits from people and provide loans and other facilities. Functions - Accepting deposits, lending out loans, transfer of money, and discounting bills of exchange. As of September 2023 there are 12 Public sector banks in India.

Q16. The number of persons per unit area gives the measurement of -----.

- A. population density**
- B. population sex ratio
- C. population movements
- D. population growth rate

Solution: Population density is the average number of individuals in a population per unit of area or volume. The Population density of India is 451.5 people per square kilometer in 2021. Sex ratio is defined as the number of females per 1000 males in a given population.

Q17. Which of the following is an example of capital

expenditure in the government budget?

- A. Interest payment on a loan
- B. Purchase of military equipment**
- C. Maintenance of government buildings
- D. Subsidies provided to farmers

Solution: Capital expenditure is that expenditure which results in increasing government asset (giving out loans) or reducing financial liabilities (paying back old loans). Examples - Loan disbursements, purchases of property and equipment. Revenue expenditure: Expenditure for the normal running of government departments, loan, subsidies. Intermediate Expenditure: The expenditure on non-factor inputs such as raw materials. Example - Maintenance of government buildings.

Q18. The Central Board of Directors of the Reserve Bank of India are appointed for a term of _____ years

- A. three
- B. two
- C. four**
- D. five

Solution: The Central Board of Directors of the Reserve Bank of India are appointed for a term of four years. Shri Shaktikanta Das is the present (May 2022) Governor of RBI. RBI was established on 1st April 1935 on the recommendation of Hilton Young's Commission. RBI was nationalised on 1st January 1949.

Q19. What is the primary function of a commercial bank?

- A. Issuing currency notes and coins
- B. Conducting monetary policy
- C. Granting loans and accepting deposits**
- D. Regulating the money supply

Solution: Secondary functions include discounting bills of exchange, overdraft facility, paying and gathering the credit, purchasing and selling of securities. Commercial banks are owned by private individuals. They are constituted by a uniform act passed by the parliament. They can open their branch in foreign countries.

Q20. When a person is NOT paying anything for public goods, this is known as _____.

- A. Non-excludable
- B. Rivalrous
- C. Free rider**
- D. Private good

Solution: Free rider. In the context of public goods, a free rider is able to use or enjoy the benefits of the public good without contributing to its cost. This is possible because of the nature of public goods, which are typically non-excludable. Example: Using public parks without paying for them.

Q21. If ex ante aggregate demand and ex ante aggregate supply are plotted together in a graphical diagram, then at which point equilibrium will be reached?

- A. Where ex ante aggregate demand is equal to ex ante aggregate supply**
- B. Where ex ante aggregate demand is zero
- C. Where ex ante aggregate demand is less than ex ante aggregate supply
- D. Where ex ante aggregate demand is more than ex ante

aggregate supply

Solution: Where ex ante aggregate demand is equal to ex ante aggregate supply. The aggregate demand/aggregate supply model is a model that shows what determines total supply or total demand for the economy and how total demand and total supply interact at the macroeconomic level. Aggregate supply is the total quantity of output firms will produce and sell—in other words, the real GDP. Aggregate demand is the amount of total spending on domestic goods and services in an economy. Equilibrium point is E and equilibrium level of income is OY1

Q22. Which of the following is correct regarding the Private Income?

- A. Private Income = Factor income from net domestic product accruing to the private sector + National debt interest - Net factor income from abroad + Current transfers from government + Other net transfers from the rest of the world
- B. Private Income = Factor income from net domestic product accruing to the private sector + National debt interest + Net factor income from abroad - Current transfers from government + Other net transfers from the rest of the world
- C. Private Income = Factor income from net domestic product accruing to the private sector + National debt interest + Net factor income from abroad + Current transfers from government + Other net transfers from the rest of the world**
- D. Private Income = Factor income from net domestic product accruing to the private sector - National debt interest + Net factor income from abroad + Current transfers from government + Other net transfers from the rest of the world

Solution: Option C is correct. Total revenue (TR) of the firm = price of the good (p) × firm's output (q). Gross domestic product (GDP) = private consumption + gross investment + government investment + government spending + (exports - imports).

Q23. Which of the following is a difference between self-help groups (SHGs) and microfinance institutions (MFIs) in India?

- A. SHGs are non-profit organisations, while MFIs are for-profit organisations
- B. SHGs provide only credit, while MFIs provide a range of financial services.
- C. SHGs are typically small, community-based organisations, while MFIs are larger and more formal institutions.**
- D. SHGs rely on government subsidies for funding, while MFIs rely on commercial sources of funding.

Solution: Self-Help Groups (SHGs) in India, started in the late 1980s by NGOs, typically consist of 10 to 20 women, serving as financial intermediaries. Examples include Amba Foundation, ASRLM, and Chamoli SHG. Microfinance institutions (MFIs), like Ujivan Financial Services and Annapurna Finance, provide banking services to low-income groups, playing a key role in poverty alleviation.

Q24. What is the primary objective of the Micro, Small, and Medium Enterprises Development (MSMED) Act of 2006 in India?

- A. To regulate foreign companies
- B. To focus on large-scale industries only

C. To increase import tariffs to protect MSMEs

D. To promote and facilitate the development of MSMEs

Solution: Currently, MSMEs (Micro, Small, and Medium Enterprises) are defined under the Micro, Small and Medium Enterprises Development Act, 2006. The Act classifies them as micro, small and medium enterprises based on: (i) investment in plant and machinery for enterprises engaged in manufacturing or production of goods, and (ii) investment in equipment for enterprises providing services. MSMEs play a vital role in generating significant employment opportunities with relatively lower capital investment compared to large industries.

Q25. Which regulatory body in India is responsible for overseeing and regulating Microfinance Institutions ?

- A. Securities and Exchange Board of India (SEBI)
- B. Small Industries Development Bank of India (SIDBI)

C. Reserve Bank of India (RBI)

- D. National Bank for Agriculture and Rural Development (NABARD)

Solution: Reserve Bank of India (RBI): Established on April 1, 1935 in accordance with the provisions of the Reserve Bank of India Act, 1934. Main Functions: Monetary Authority, Regulator and supervisor of the financial system, Manager of Foreign Exchange, Issuer of currency. SEBI : Founded - 12 April 1988, Headquarters - Mumbai. SIDBI : Founded - 2 April 1990, Headquarters - Lucknow. NABARD : Founded - 12 July 1982, Headquarters - Mumbai.

Q26. What do you mean by balanced budget ?

- A. Expenditure not equal to revenue
- B. Expenditure equal to revenue**
- C. Expenditure more the revenue
- D. Expenditure is less than revenue

Solution: Expenditure equal to revenue. Balanced Budget is an ideal approach to achieve a balanced economy and maintain fiscal Discipline. Budget - An approximation of revenue and expenses over a defined future time frame. Surplus Budget - when income or revenue exceeds expenditures. Deficit Budget - when government expenses exceed revenue.

Q27. A type of unemployment in rural areas when people are not able to find jobs during some months of the year is called

- A. educated unemployment
- B. disguised unemployment
- C. frictional unemployment

D. seasonal unemployment

Solution: Seasonal unemployment is when people who work in seasonal jobs become unemployed when demand for labor decreases. Frictional Unemployment → When there is unemployment due to breakdown of machines, strikes, shortage of raw materials, power failure etc it is frictional unemployment. Disguised unemployment is unemployment that does not affect aggregate economic output.

Q28. Which of the following is a correct statement?

- A. National Income is GNP at FC.
- B. National Income is NDP at MP.

C. National Income is GDP at MP.

D. National Income is NNP at FC.

Solution: (d) National Income is NNP at FC. Net National Product at factor cost is equal to sum total of value added at factor cost or net domestic product at factor cost and net factor income from abroad. $NNP \text{ at Factor Cost} = NNP \text{ at Market Price} - \text{Net Indirect tax}.$

Q29. According to the Socio-Economic Census 2015, which state has the largest population of households with 'destitute / living on alms'?

- A. Chhattisgarh
- B. Bihar
- C. Tamil Nadu

D. Odisha

Solution: The largest proportion of households with "destitute/living on alms" is in Orissa.

Q30. Small Industries Development Bank of India (SIDBI) is regulated by

- A. Indian Bank
- B. Reserve Bank of India**
- C. ICICI Bank
- D. State Bank of India

Solution: The Reserve Bank of India (RBI) regulates the Small and Industries Development Bank of India. SIDBI (a statutory body) is a financial institution aimed at aiding the growth of Micro, Small, and Medium Enterprises (MSMEs). Founded: 2 April 1990; Headquarter s: Lucknow; Agency executive: Sivasubramanian Ramann (September 2022).

Q31. A form of financial service which provides small loans and other financial services to poor and low-income households is called

- A. microfinance**
- B. commercial mortgage
- C. invoice financing
- D. personal finance

Solution: Microfinance refers to the financial services provided to low-income individuals or groups who are typically excluded from traditional banking. A commercial mortgage is a mortgage loan secured by commercial property, such as an office building, shopping center, industrial warehouse, or apartment complex. Invoice financing is a form of short term borrowing which is extended by the bank or a lender to its customers based on unpaid invoices.

Q32. Which of the following is an example of revenue receipt in the government budget?

- A. Sale of government-owned land
- B. Repayment of a loan by a state-owned company
- C. Dividends received from a state-owned enterprise**
- D. Borrowing money from international organisations

Solution: The receipts of the government show the different sources from which the government raises revenue. Revenue receipts are current income receipts from all sources such as taxes, profits of public enterprises, grants, etc. Revenue receipts neither create any liability nor cause any reduction in the assets of the government. Capital receipts are the

receipts of the government which either create liability or cause any reduction in the assets of the government.
Example – Borrowings, recovery of loan and disinvestment.

Q33. Law of Demand states that, there is a negative relationship between _____

- A. demand for a commodity and its supply
- B. supply of a commodity and its price
- C. tax on a commodity and its price
- D. demand for a commodity and its price**

Solution: Demand for a commodity and its price. Law of demand: An economic principle explaining the negative correlation between the price of a good or service and its demand. If all other factors remain the same, when the price of a good or service increases, the quantity of demand decreases, and vice versa.

Q34. The production function can be expressed as _____ (where L is labour and C is capital and Q is the maximum output that can be produced)

- A. $Q = f(C)$
- B. $L = f(Q, C)$
- C. $Q = f(L)$
- D. $Q = f(L, C)$**

Solution: $Q = f(L, C)$. Production function refers to the functional relationship between the quantity of a good produced (output) and factors of production (inputs). Mathematically, such a basic relationship between inputs and outputs may be expressed as: $Q = f(L, C, N)$. Where Q = Quantity of output, L = Labour, C = Capital, N = Land.

Q35. _____ is calculated by dividing the nominal GDP in a given year by the real GDP for the same year and multiplying it by 100.

- A. Disposable Income
- B. GDP Deflator**
- C. Real Income
- D. Per Capita Income

Solution: GDP Deflator. Per Capita Income is calculated by dividing the area's total income by its total population. Disposable Income is the amount of money that an individual or house hold has to spend or save after income taxes have been deducted. Real income is an economic measure that provides an estimation of an individual's actual purchasing power in the open market after accounting for inflation.

Q36. Factor cost is also known as:

- A. market cost
- B. ex-factory cost
- C. input cost**
- D. output cost

Solution: Input cost: The actual cost incurred on goods and services produced by industries and firms. Factor costs include all the costs of the factors of production to produce a given product in an economy. It includes the costs of land, labor, capital and raw material, transportation etc. Ex-factory cost – The selling cost of the products less any price accompanies the delivery of the products to the customer. The market price – The current price at which a goods or

service can be purchased or sold.

Q37. During the period of 1947 to 1990, how many five-year plans were completed?

- A. 6
- B. 7**
- C. 9
- D. 8

Solution: 7. Five Year Plans – First (1951–56), Second (1956–61), Third (1961–66), Plan Holidays (1966–69), Fourth (1969–74), Rolling Plan (1978–80), Sixth (1980–85), Seventh (1985–90), Annual Plans (1990–92), Eighth (1992–97), Ninth (1997–2002), Tenth (2002–07), Eleventh (2007–2012), Twelfth (2012–17).

Q38. Which of the following is NOT correct regarding circular flow of income?

- A. Savings as well as government expenditure are injections to the circular flow**
- B. The income of one sector becomes the expenditure of the other.
- C. In a circular flow, leakages are equal to injections.
- D. The real flow and monetary flow move in a circular manner in an opposite direction.

Solution: Savings are considered a leakage from the circular flow of income because they represent income that is not immediately spent on goods and services. Government expenditure is an injection, as it adds to the overall demand in the economy.

Q39. Which of the following was the first development bank in India?

- A. National Housing Bank
- B. Export Import Bank of India
- C. Industrial Finance Corporation of India**
- D. Industrial Development Bank of India

Solution: Industrial Finance Corporation of India founded on 1st July 1948. National Housing Bank was founded on 9th July 1988. Export Import Bank of India was founded in March 1982. Industrial Development Bank of India was founded on 1st July 1964.

Q40. Who is the Chairman of Financial Stability and Development Council (FSDC) of India?

- A. Finance Minister**
- B. Human Resource Development Minister
- C. Home Minister
- D. Skill Development Minister

Solution: Financial Stability and Development Council (FSDC) is a non-statutory apex council under the Ministry of Finance constituted by the Executive Order in 2010. Raghuram Rajan committee (2008) proposed its creation. It is chaired by the Finance Minister and its sub-committee is headed by the Governor of RBI.

Q41. In which of the following ways, aggregate demand function is related to consumption Function ? I. They have the same slope C. II. The aggregate demand function is parallel to the consumption function.

- A. Neither I nor II

B. Only II

C. Only I

D. Both I and II

Solution: Both I and II. Aggregate demand - the total demand for goods and services within a particular market. It is the sum of four components: consumption, investment, government spending, and net exports. Consumption can change for a number of reasons, including movements in income, taxes, expectations about future income, and changes in wealth levels.

Q42. 11th National Seed Congress was held in _____.

A. Mysuru

B. New Delhi

C. Chennai

D. Gwalior

Solution: Gwalior. The Union Minister of Agriculture and Farmers Welfare, Narendra Singh Tomar inaugurated this event at Rajmata Vijayaraje Scindia Agricultural University, Gwalior. The efforts of NAAS at the national level and State Academy of Agricultural and Allied Sciences (SAAS) at the regional level will further accelerate the activities of agriculture, horticulture, and animal husbandry science.

Q43. The value of all final goods and services produced within the country during one year is known as _____.

A. gross national product

B. net national product

C. gross domestic product

D. net domestic product

Solution: gross domestic product. Gross National Product: $GNP = GDP + \text{Net factor income from abroad}$. Net National Product (NNP) = $GNP - \text{Depreciation}$. Depreciation - Decrease in value of an asset over time due to wear and tear. Net Domestic Product (NDP) = $GDP - \text{Depreciation}$.

Q44. Which industrial policy marked the beginning of liberalisation in the Indian industry, reducing the restrictions on private companies?

A. Industrial Policy 1991

B. Industrial Policy 1980

C. Industrial Policy 1977

D. Industrial Policy 1956

Solution: Industrial Policy 1991. It was introduced as part of the broader economic reforms initiated by the government of P.V. Narasimha Rao, with Dr. Manmohan Singh as the Finance Minister. This policy marked a paradigm shift from the previous regime of licenses, permits, and regulations to a more open and market-oriented economy. Important features included: Abolition of industrial licensing for most industries, Liberalization of foreign technology agreements, and Abolition of the MRTP Act (Monopolies and Restrictive Trade Practices Act).

Q45. Which of the following is an example of capital receipts?

A. Revenue from the sale of government assets

B. Taxes on income

C. Interest on government bonds

D. Grants-in-aid from other governments

Solution: Revenue from the sale of government assets.

Capital receipts are government receipts that create liabilities or reduce financial assets. Key components include loans raised from the public (market borrowings), borrowings from the Reserve Bank and commercial banks through treasury bills, loans from foreign governments and international organizations, and recoveries of loans granted by the central government.

Q46. Which of the following is an advantage of microfinance institutions in India?

A. Limited impact on poverty reduction

B. Increased reliance on informal lending sources

C. Minimal support for women entrepreneurs

D. Enhanced financial inclusion

Solution: Enhanced Financial Inclusion. Microfinance Institutions (MFIs): Financial companies that provide small loans to people who do not have any access to banking facilities. Other benefits of MFIs: Collateral-Free Loans, Income Generation, Women Empowerment through self-help groups, Encourage self-sufficiency and Entrepreneurship.

Q47. Which of the following represents disposable income?

A. The income earned by individuals and households after taxes and other deductions

B. The total income earned by businesses and corporations in an economy

C. The income earned by individuals through their own business or self-employment

D. The total income earned by individuals and households before taxes and other deductions

Solution: National Disposable Income = Net National Product at market prices + other current transfers from the rest of the world. Private Income = National Income (or NNP at Factor Cost) + Transfer Payments + Interest on Public Debt - Social Security - Profits and Surpluses of Public Undertakings. Personal Income = Private Income - Undistributed Corporate Profits - Profit Taxes.

Q48. The Government of India initiated the comprehensive Family Planning Programme in _____.

A. 1954

B. 1958

C. 1952

D. 1955

Solution: The Government of India initiated the comprehensive Family Planning programme in 1952. India was the first country to launch such a programme.

Q49. What is the total stock of money in circulation among the public at a particular point of time called?

A. Money order

B. Money supply

C. Short money

D. Money laundering

Solution: The money supply is all the currency and other liquid instruments in a country's economy on the date measured. A money order is a certificate, usually issued by a government or banking institution, that allows the stated payee to receive cash on demand. Money laundering is a

criminal act wherein they try to hide their illegal source of income through legal means.

Q50. The term 'Microfinancing' was first used in the 1970s during the development of Grameen Bank of Bangladesh, which was founded by ____.

- A. Muhammad Yunus**
- B. Adam Smith
- C. Jeremy Bentham
- D. Alfred Marshall

Solution: Muhammad Yunus. Muhammad Yunus is a Bangladeshi economist, entrepreneur, politician, and civil society leader. He was awarded the Nobel Peace Prize in 2006 for founding the Grameen Bank and pioneering microcredit and microfinance. Microfinance provides banking services to low-income individuals or groups who typically lack access to traditional financial institutions.

Q51. The Working Group under the chairmanship of ____ in the year ____ proposed a new intermediate monetary aggregate to be referred to as NM2.

- A. Dr. C Rangarajan; 1996
- B. Dr. YV Reddy; 1998**
- C. Dr. KV Kamath; 1995
- D. Dr. PK Mohanty; 1998

Solution: Dr. YV Reddy; 1998. NM2 (Narrow Money 2) measures the money supply in an economy, including currency, demand deposits, and time deposits. It indicates liquidity and helps guide monetary policy and economic regulation. Central banks, such as the RBI, use NM2 to control inflation and manage economic growth, reflecting broader money supply aspects for policy decisions.

Q52. which of the following sustainable development Goals ensures availability and sustainable management of water and sanitation for all

- A. SDG 5
- B. SDG 6**
- C. SDG 4
- D. SDG 7

Solution: The 17 sustainable development goals (SDGs) to transform our world: GOAL 4: Quality Education GOAL 5: Gender Equality GOAL 6: Clean Water and Sanitation GOAL 7: Affordable and Clean Energy

Q53. _____ is the change in total utility due to consumption of one additional unit of a commodity.

- A. Product Utility (PU)
- B. Revenue utility (RU)
- C. Demand utility (DU)
- D. Marginal utility (MU)**

Solution: Marginal Utility (MU). Total utility is the aggregate amount of satisfaction or fulfillment that a consumer receives through the consumption of a specific good or service. As long as marginal utility is positive, total utility will increase. Once marginal utility is negative, then total utility will decrease.

Q54. Which of the following is an example of a microfinance

institution (MFI) in India?

- A. State Bank of India (SBI)
- B. Bandhan Bank**
- C. ICICI Bank
- D. HDFC Bank

Solution: Bandhan Bank. Microfinance – A type of banking service that provided loans to those who face difficulties in getting loans from formal financial institutions. SEWA Bank, the first microfinance institution in India, established in 1974. Microfinance companies in India – Annapurna Finance (2009), Asirvad Microfinance (2007), Bandhan Financial Services (1995), Fusion Microfinance (2010), Cashpor Micro Credit (2002).

Q55. Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA) 2005 provides _____ days of assured employment every year to every rural household.

- A. 100**
- B. 120
- C. 150
- D. 200

Solution: Mahatma Gandhi National Rural Employment Guarantee Act or MGNREGA in 2009, is an Indian labour law and social security measure that aims to guarantee the 'right to work'. It was launched in 2006. MNREGA provides 100 days of employment every year to every rural household.

Q56. Which of the following statements is correct regarding the Industrial Policy resolution 1956? I. This resolution formed the basis of the Second Five Year Plan. II. This policy was used for promoting industry in backward regions.

- A. Neither I nor II
- B. Both I and II**
- C. Only I
- D. Only II

Solution: Both I and II. Second Five-year plan (1956–1961): Goal – Development of the Industrial sector; Based on Mahalanobis model. This plan tried to build the basis for a socialist pattern of society. The Five Year Plans formulated by the Planning Commission Replaced by NITI AAYOG in 2015. Industrial Policy Statement of 1956 – It was regarded as the "Economic Constitution of India" or "The Bible of State Capitalism". It stressed on the importance of cottage and small scale industries. It has three categories– Schedule A, Schedule B and Schedule C.

Q57. Match the following items.

- A. i (b), ii (d), iii (a), iv (c)**
- B. i (d), ii (a), iii (b), iv (c)
- C. i (b), ii (c), iii (d), iv (a)
- D. i (c), ii (d), iii (b), iv (a)

Solution: i (b), ii (d), iii (a), iv (c). The Kasturba Gandhi Balika Vidyalaya (KGBV) is a government-run residential school for girls from weaker sections of society. The Mid-Day Meal Scheme (MDM) provides free, nutritious meals to school children across India. The National Assessment and Accreditation Council (NAAC) accredits higher education institutions, while the All India Council for Technical Education (AICTE) oversees technical education under the Department of Higher Education.

Q58. What is the primary benefit offered to businesses in Special Economic Zones (SEZs)?

A. Tax and duty concessions

- B. Guaranteed market share
- C. Mandatory government contracts
- D. Unlimited foreign investment

Solution: Tax and duty concessions. The incentives and facilities offered to the units in SEZs for attracting investments into the SEZs, including foreign investment include:- Duty free import/domestic procurement of goods for development, operation and maintenance of SEZ units. 100% Income Tax exemption on export income for SEZ units under Section 10AA of the Income Tax Act for first 5 years, 50% for next 5 years thereafter and 50% of the ploughed back export profit for next 5 years.

Q59. The 'Make in India' initiative primarily focuses on which sector?

A. Manufacturing

- B. Service
- C. Agriculture
- D. Import

Solution: Manufacturing . Make in India Initiative: Launched on September 25, 2014, by Prime Minister Narendra Modi, initiative aims to transform India into a global manufacturing hub by boosting the manufacturing sector's contribution to GDP, creating jobs, attracting foreign investments, and improving the ease of doing business.

Q60. NDP = ____.

A. GDP – Depreciation

- B. GDP + Depreciation
- C. GDP – Net factor income from abroad
- D. GDP + Net factor income from abroad

Solution: GDP – Depreciation. Net Domestic Product (NDP) – Aggregate value of goods and services produced within the domestic territory of a country which does not include the depreciation of capital stock. Net Domestic Product at Market Prices (NDPMP) – This measure allows policy-makers to estimate how much the country has to spend just to maintain their current GDP. NDP at Factor Cost (NDPFC) – NDP at factor cost is the income earned by the factors in the form of wages, profits, rent, interest, etc., within the domestic territory of a country. $NDPFC = NDPMP - \text{Net Product Taxes} - \text{Net Production Taxes}$.

Q61. Which of the following statements is correct regarding the features of a perfectly competitive market? I. The market consists of a large number of buyers and sellers. II. Information is perfect .

- A. Only I
- B. Neither I nor II
- C. Both I and II**
- D. Only II

Solution: Both I and II. Other features of a perfectly competitive market are 1. Each firm produces and sells a homogenous product. i.e the product of one firm cannot be differentiated from the product of any other firm. 2. Entry into the market as well as exit from the market are free for firm s. Total revenue (TR) of the firm = price of the good (p) × firm's

output (q).

Q62. Which institution mainly provides financial assistance and support to microfinance institutions in India?

- A. Department of Economic Affairs (DEA)
- B. Ministry of Corporate Affairs
- C. Indian Banks' Association (IBA)

D. Small Industries Development Bank of India (SIDBI)

Solution: SIDBI . Set up on 2nd April 1990 under an Act of Indian Parliament. Microfinance institutions (MFIs) is a type of banking service provided to low-income individuals or groups who otherwise wouldn't have access to financial services. In India, all loans that are below Rs.1 lakh can be considered as microloans.

Q63. The system of MSP (Minimum Support Price) was first introduced for _____ in 1966–67 and later expanded to include other essential food crops.

- A. jowar
- B. bajra
- C. wheat**
- D. ragi

Solution: The system of MSP (Minimum Support Price) was first introduced for Wheat in 1966–67. Minimum Support Price (MSP) is a form of market intervention by the Government of India to insure agricultural producers against any sharp fall in farm prices. Crops covered by MSPs include: 7 types of cereals (paddy, wheat, maize, bajra, jowar, ragi and barley), 5 types of pulses (chana, arhar/tur, urad, moong and masoor), 7 oilseeds (rapeseed-mustard, groundnut, soyabean, sunflower, sesamum, safflower, niger seed), 4 commercial crops (cotton, sugarcane, copra, raw jute).

Q64. Which of the following sectors in India faces seasonal unemployment?

- A. Agriculture**
- B. Manufacturing
- C. Medical
- D. Information technology

Solution: Agriculture . Seasonal unemployment occurs when people are jobless during specific seasons when labor demand is low. It arises from a mismatch between the skills of the workforce and those required for available jobs. Unemployment is a situation in which individuals are ready and willing to work at the prevailing rate of wages but cannot get the work.

Q65. The number of live births per thousand persons in a year is called ____.

- A. growth rate
- B. fertility rate
- C. death rate
- D. birth rate**

Solution: Birth Rate (or crude birth rate) is the number of live births per 1,000 population in a given year. Death Rate (or crude death rate) is the number of deaths per 1,000 population in a given year. The population growth rate is the change in the number of individuals over a specific period of time. The fertility rate at a given age is the number of children born alive to women of that age during the year as a

proportion of the average annual population of women of the same age.

Q66. The Annual Financial Statement shows the receipts and payments of Government in the form of _____.

A. Contingency Fund, Public Account, and Capital Projects

B. Contingency Fund, Public Account, and Consolidated Funds

C. Public Account and Consolidate Funds

D. Contingency Fund and Consolidated Funds

Solution: The Annual Financial Statement shows the receipts and payments of the Government in the form of Contingency Fund, Public Account and Consolidated Funds. This statement titled "Annual Financial Statement" is the main Budget document. Article 112 → Annual financial statement .

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